An Emphasis on Process

Tri Cities Quality Forum

November 8, 2018

Tennessee Center for Performance Excellence

www.tncpe.org

Objectives

By the end of this session you will:

- Be familiar with The Framework for Performance Excellence
- Understand how to identify your key processes
- Be able to identify your key leadership processes
- Be familiar with how to identify the maturity of your processes and which ones to prioritize for improvement

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- **Mission: to drive organizational excellence in Tennessee and the Southeast Region of the USA**
- Through education, training & award program
- Provides “stair step” approach to meet organizations where they are
- 501c(3) corporation
- Powered by a volunteer workforce
- Nationally recognized

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Baldrige Performance Excellence Program

- Established by Congress in 1987
- Purpose: to enhance U.S. business competitiveness in a global economy by:
  - Identifying and recognizing role-model businesses
  - Establishing criteria for evaluating improvement efforts
  - Disseminating and sharing best practices
- Internationally recognized and emulated
- National resource

Mac Baldrige



Endorsed by Presidents



President Ronald Reagan

"The Malcolm Baldrige National Quality Award offers companies a standard with which to compare their own progress to that of the country's very best."



President Bill Clinton

"Every year I feel more strongly that this is the way America ought to work. This is the way all of our organizations ought to work."



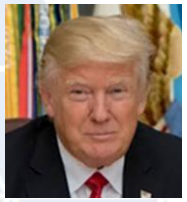
President George W. Bush

"These organizations have been selected as exemplifying the qualities of excellence and ethics. They are being recognized for their continual improvement, their commitment to employees and community, and their enterprising spirit."



President Barack Obama

"The road to greatness in American has been, and always will be, traveled by those who embrace change and work hard every day to be the best; the organizations we honor today with the Baldrige National Quality Award exemplify that spirit."



President Donald Trump

"This program is about much more than recognizing successful organizations or winning a single award … When companies implement the ground-tested Baldrige approach, they create organizations that employees and customers love, that continually improve, and that produce innovative and outstanding results."

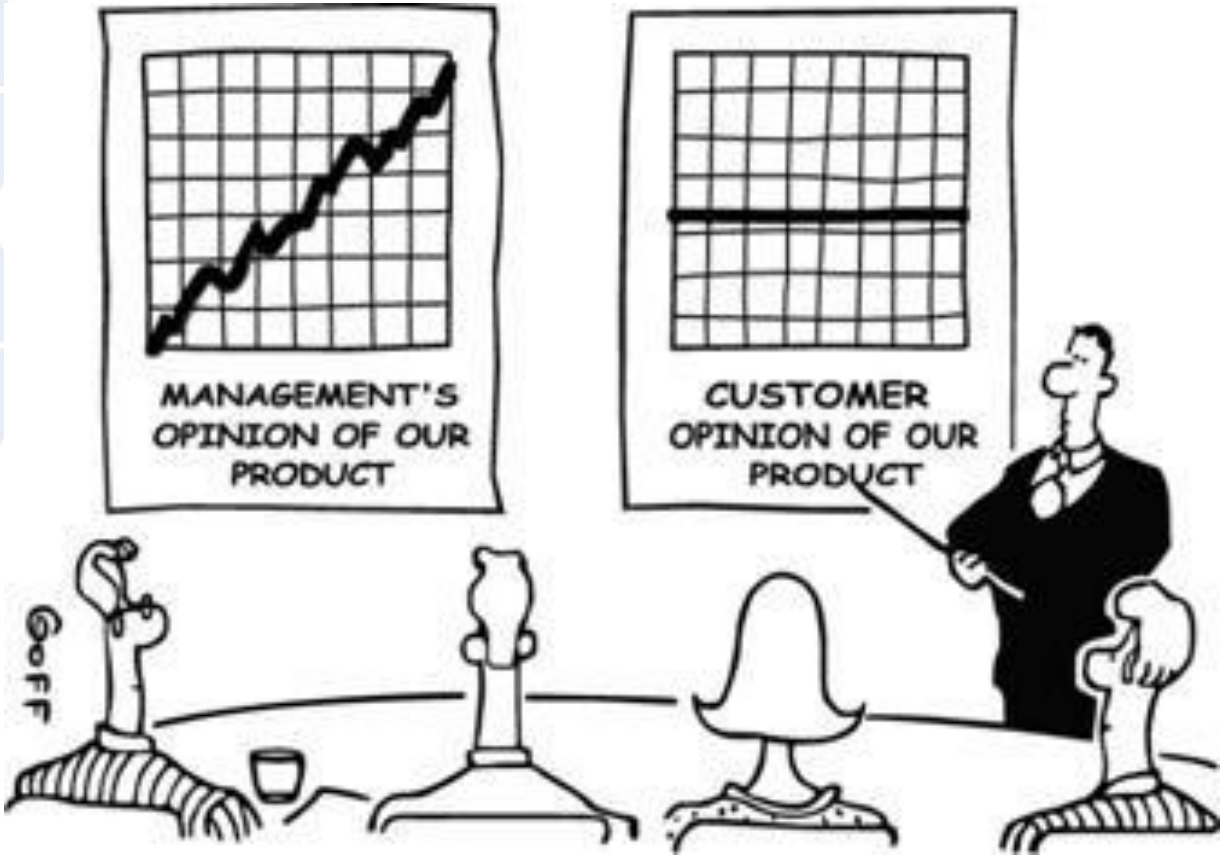
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Is Your Organization the Best It Can Be?



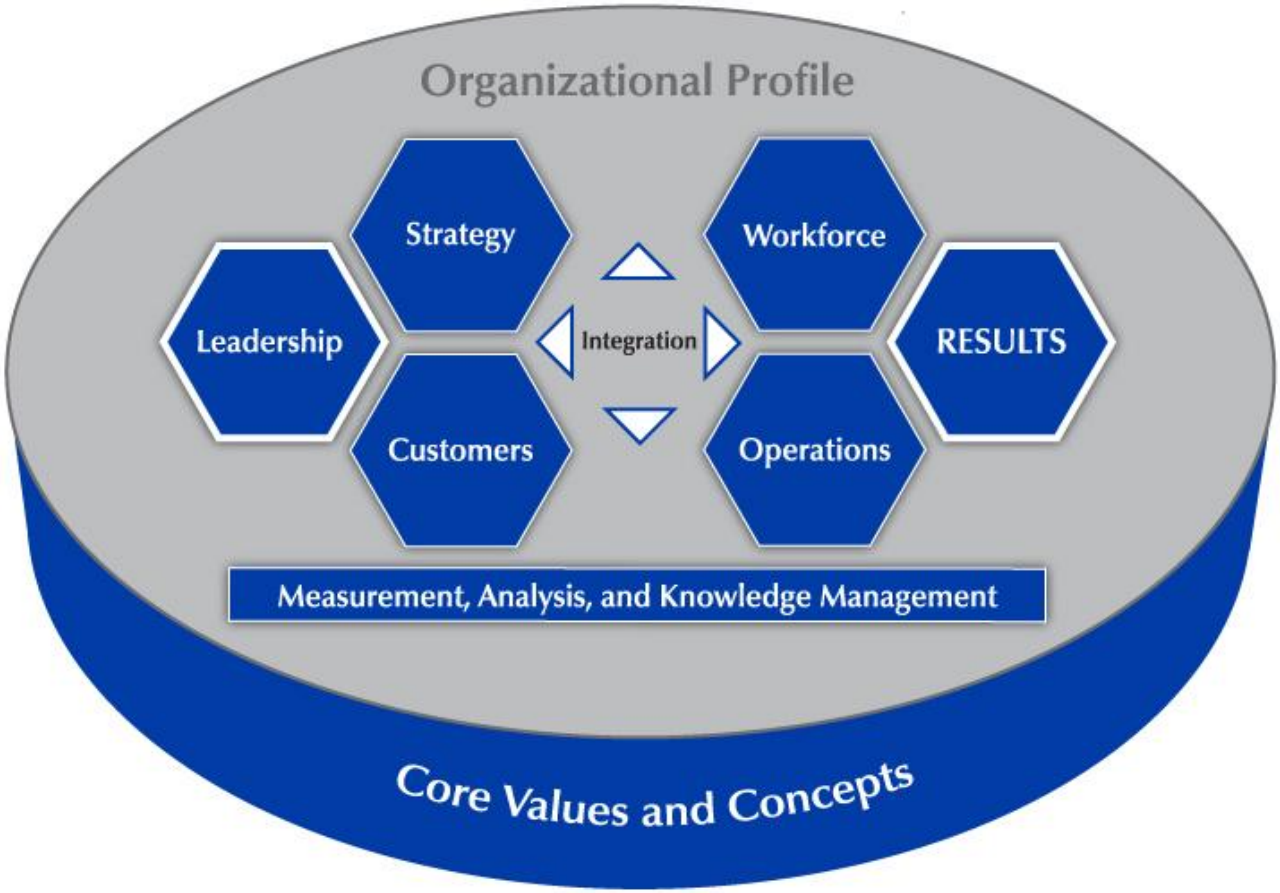
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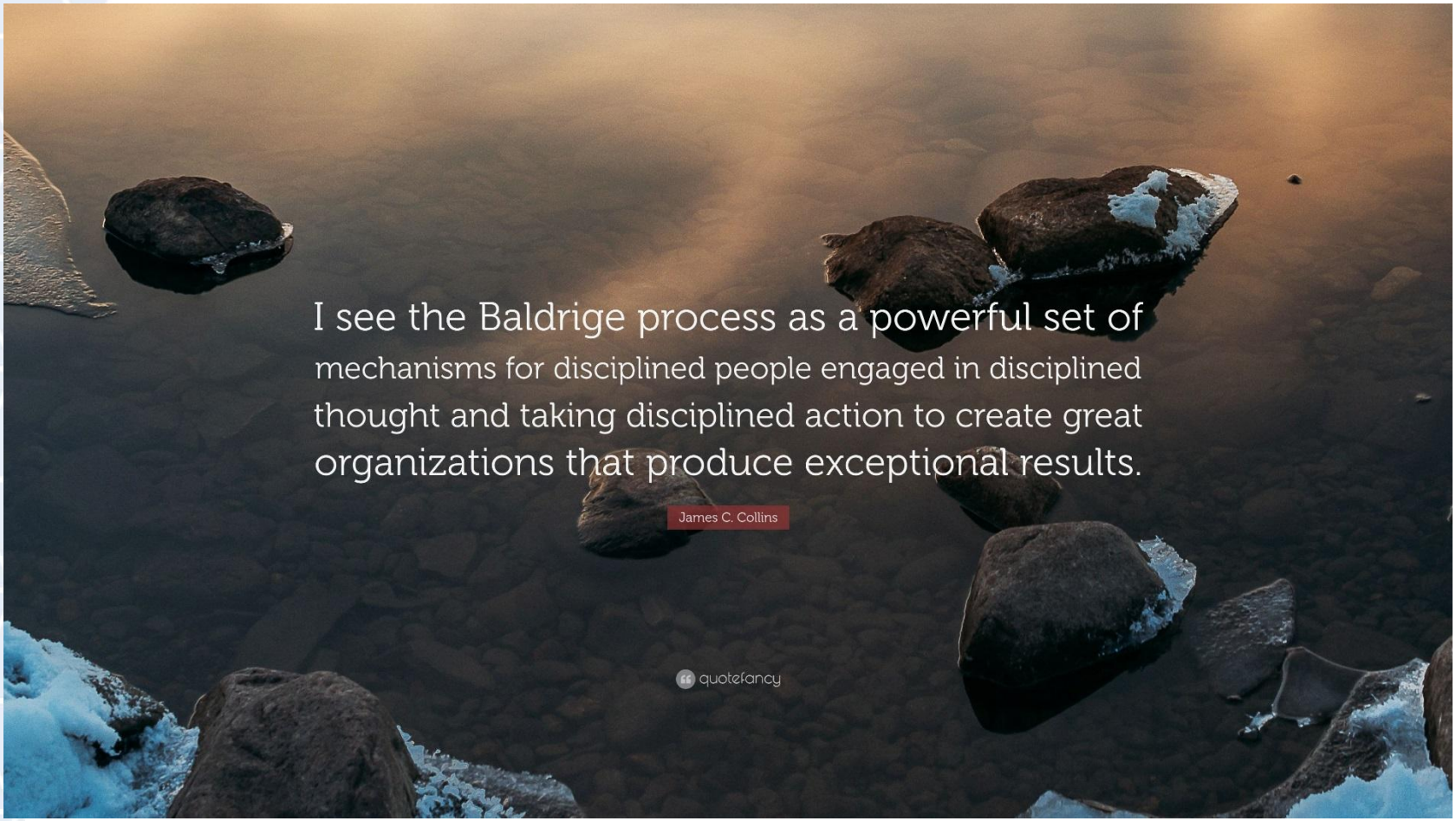
How Do You Know?



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What Should You Change to Get Better?





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Baldrige Is an Effective Leadership System

- Common sense
- Aligns the entire organization to achieve the mission and vision and live the values
- Identifies gaps
- Asks really good questions. For example:
  - How do senior leaders set your organization's vision and values?
  - How can we do it better?
- Works for any organization!

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Core Values & Concepts

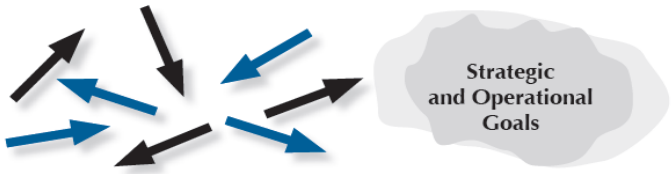
- Systems perspective
- Visionary leadership
- Customer-focused excellence
- Valuing people
- Organizational learning and agility
- Focus on success
- Managing for innovation
- Management by fact
- Societal responsibility
- Ethics and transparency
- Delivering value and results

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Steps toward Mature Processes

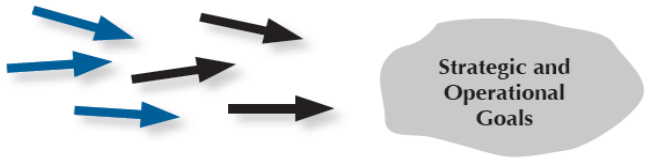
An Aid for Assessing and Scoring Process Items

Reacting to Problems (0–25%)



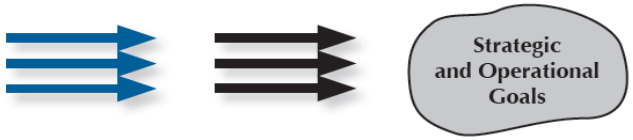
Operations are characterized by activities rather than by processes, and they are largely responsive to immediate needs or problems. Goals are poorly defined.

Early Systematic Approaches (30–45%)



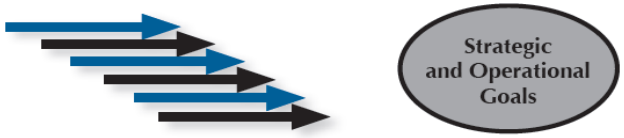
The organization is beginning to carry out operations with repeatable processes, evaluation, and improvement, and there is some early coordination among organizational units. Strategy and quantitative goals are being defined.

Aligned Approaches (50–65%)



Operations are characterized by repeatable processes that are regularly evaluated for improvement. Learnings are shared, and there is coordination among organizational units. Processes address key strategies and goals.

Integrated Approaches (70–100%)



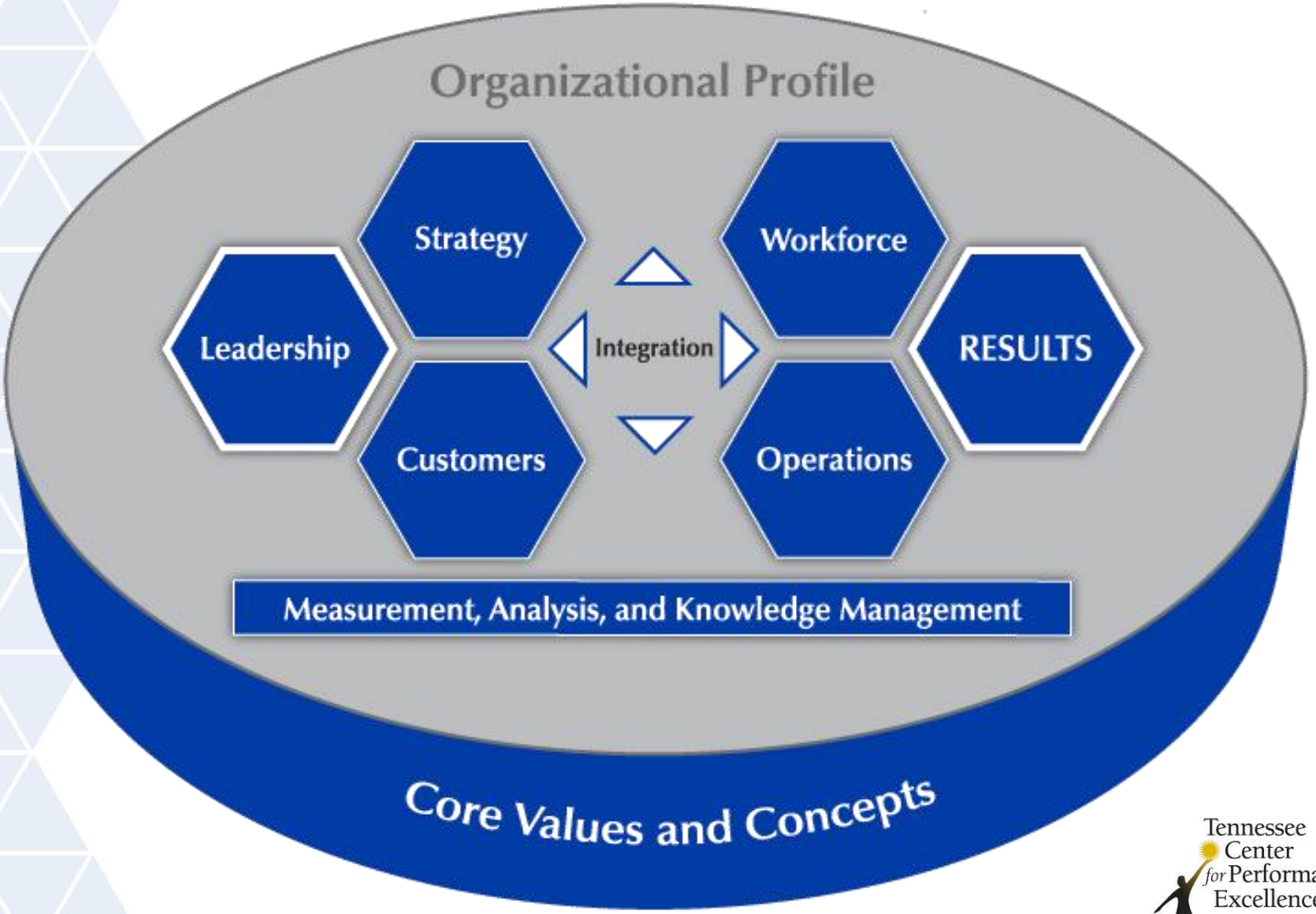
Operations are characterized by repeatable processes that are regularly evaluated for change and improvement in collaboration with other affected units. The organization seeks and achieves efficiencies across units through analysis, innovation, and the sharing of information and knowledge. Processes and measures track progress on key strategic and operational goals.

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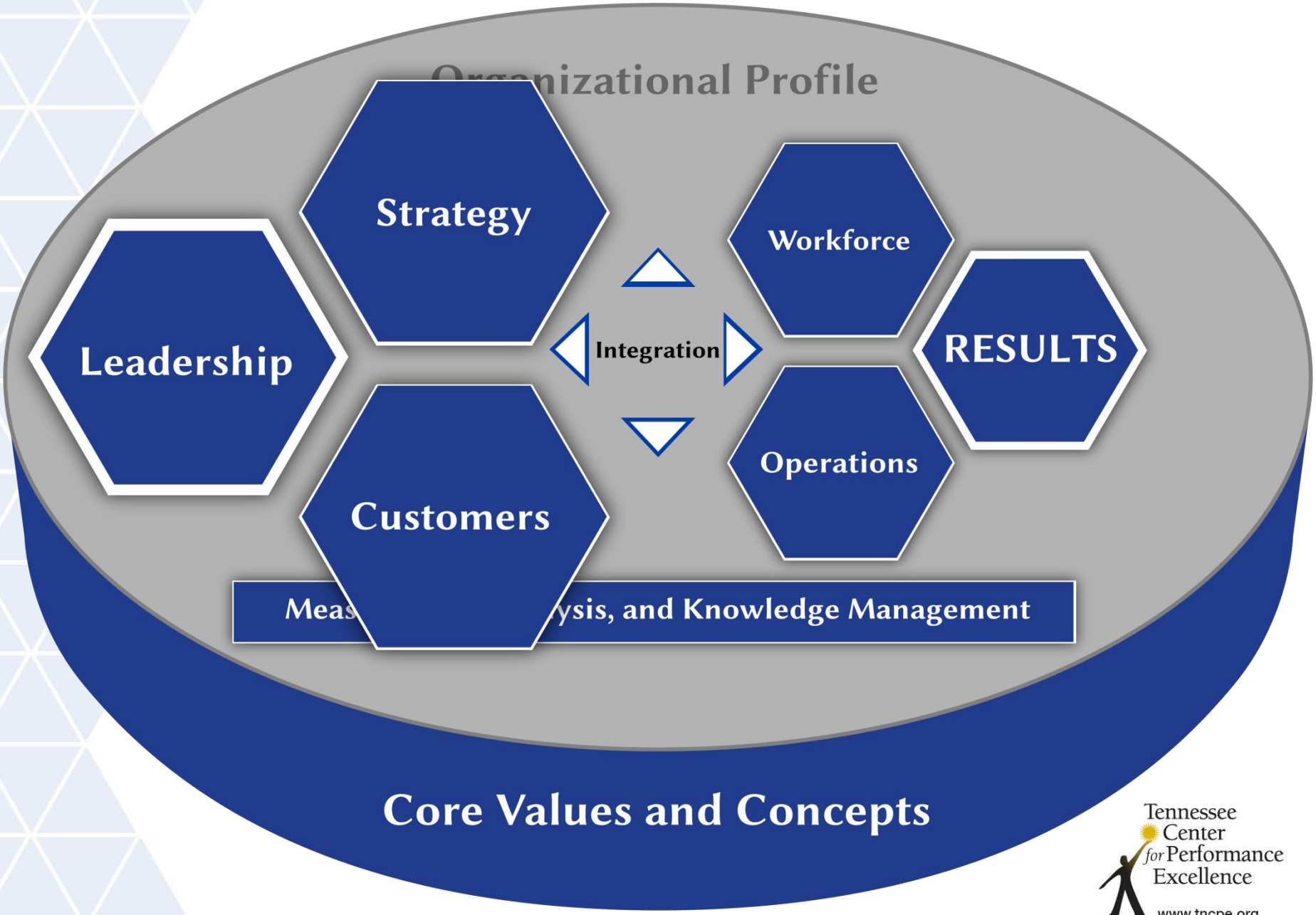
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The Framework for Performance Excellence

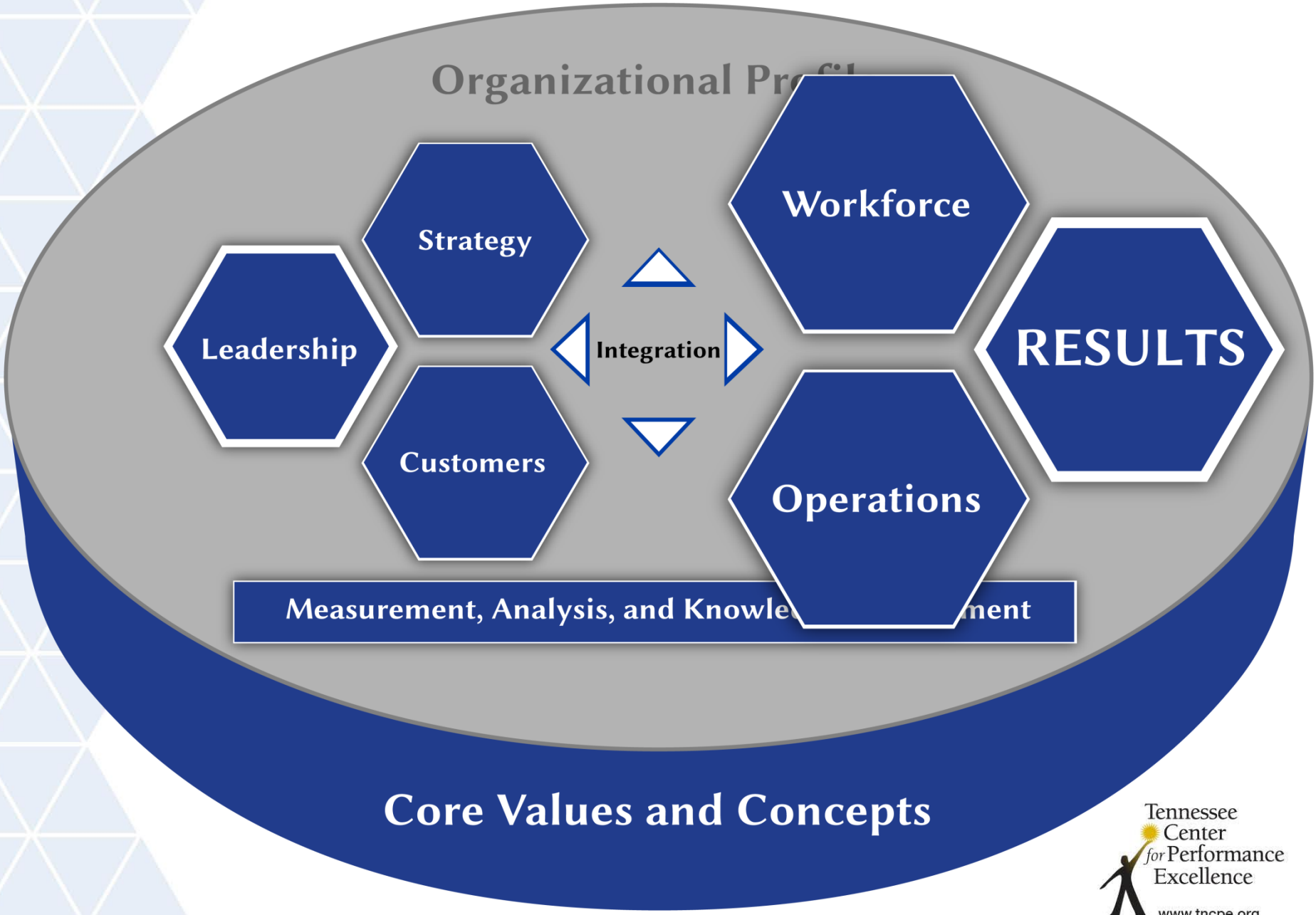
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Identifying Key Processes

WHAT vs HOW

WHAT calls for either information or provides opportunity to list important priorities such as action plans, objectives, etc.

HOW refers to the systems and processes that an organization uses to accomplish its mission requirements.

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WHAT vs HOW

WHAT calls for either information or provides opportunity to list important priorities such as action plans, objectives, etc.

HOW refers to the systems and processes that an organization uses ***to accomplish its mission/its work/meet stakeholder requirements.***

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Key Processes

PROCESS: Linked activities with the purpose of producing a produce or service for a customer (user) within or outside your organization



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KEY: Major or most important; critical to achieving your intended outcomes

Key Leadership Processes

Leadership

1.1 Senior Leadership: How do your senior leaders lead the organization?

- Vision and Values
  - HOW do you set them, promote them?
- Communication
  - HOW do you encourage communication, communicate key decisions?
- Mission and Organizational Performance
  - HOW do you create an environment for success and a focus on action?

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Senior Leadership Criteria Topic	Key Processes?
Vision and Values	Mission, Vision setting in annual planning? ”Town Hall” all staff meetings? Stakeholder communications, meetings?
Communication	One on one meetings, conversations Communication strategy? Open door approach?
Mission and Organizational Performance	Linking results to performance evals? Succession planning? ”Cascading” plans, processes, measures?

Leadership

1.2 Governance & Societal Responsibilities: How do you govern your organization and fulfill your societal responsibilities?

- Organizational Governance
  - Governance System
  - Performance Evaluation
- Legal and Ethical Behavior
  - Legal and Regulatory Compliance
  - Ethical Behavior
- Societal Responsibilities
  - Societal Well-being
  - Community Support

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Gov & Soc Resp Criteria Topic	Key Processes?
Organizational Governance	Selection of board members? Transparency approaches? Performance evaluations? Action Plans for leaders, boards?
Legal and Ethical Behavior	Public/customer meetings to identify societal impacts, concerns? Ethics measures? Compliance training?
Societal Responsibilities	Societal benefit as part of strategic planning? Identification of key communities and unique support?

Maturity of Key Leadership Processes

Evaluating Processes

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Evaluating Processes

- **Approach**
  - Systematic, repeatable

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- **Learning**
  - Evaluation and improvement cycles

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Evaluating Processes

- **Approach**
  - Systematic, repeatable
- **Deployment**
  - Extent of implementation
- **Learning**
  - Evaluation and improvement cycles
- **Integration**
  - Alignment and harmonization

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Is Your Organization the Best It Can Be?

Leadership



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How Do You Know?

MEASURES AND INDICATORS:

Numerical information that quantifies performance dimensions of processes, products, programs, projects, services, and the overall organization.

How do you measure Leadership Processes???

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Sample Key Leadership Process Measures/Indicators

Key Process	Sample Measure or Indicator
Town Hall or all staff meetings	Attendance Comprehension assessment Change in engagement or outcomes
Succession planning	Participation (rate, diversity, etc) Time to fill key roles
Cascading plans, processes, measures	Percent of plans accomplished Improvement in organizational goals
Ethics and Compliance Training	Number, severity, type of breaches Comprehension assessment
Identification of Key Communities and Unique Support	Rate of employee involvement in community support activities, reduction in a community need or problem

Prioritizing Key Processes for Improvement

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Analyzing Process Results

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- **Levels**
  - Validity or meaningful scale

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- **Levels**
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- **Trends**
  - Rate of improvement or sustainability

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- **Comparisons**
  - Appropriateness; benchmarks vs. competitive data

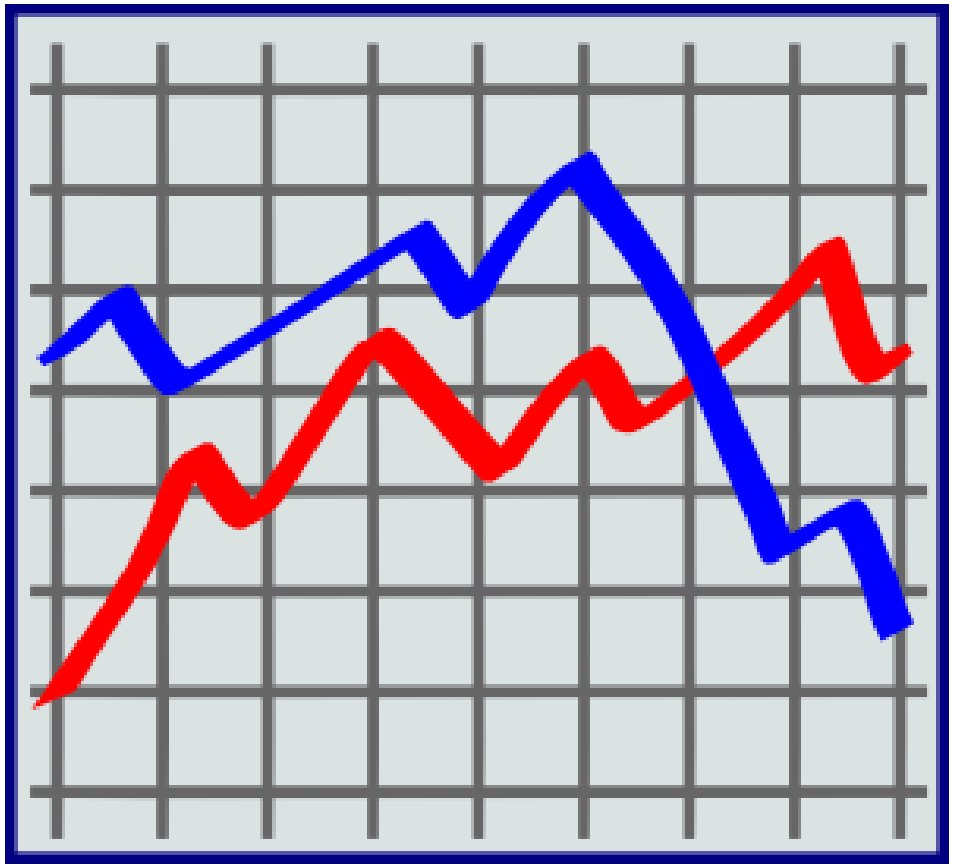
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Analyzing Process Results

- **Levels**
  - Validity or meaningful scale
- **Trends**
  - Rate of improvement or sustainability
- **Comparisons**
  - Appropriateness; benchmarks vs. competitive data
- **Integration**
  - Importance, harmonization, **segmentation**

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Demonstration



Objectives

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